

U.S. Sales Tax and Use Tax

Draft notes

September 1, 2026

Abstract

Institutional notes on U.S. sales and use taxes: remittance channels, *Wayfair*, rates, verified collection sizes, and returns.

1 U.S. Sales Tax and Use Tax

There is no federal sales or use tax. Both are state and local consumption taxes at the same rate within a location; they differ by who remits.

1.1 Sales Tax versus Use Tax

Sales tax. A registered retailer adds tax at checkout and remits it to the government.

Use tax. If the seller charges no tax, the buyer must self-report and pay the home state. Use tax is the backstop when sales tax was not collected at sale.

Neither instrument depends on item value. States track titled goods (vehicles, boats, aircraft) closely, so unpaid use tax is often collected at registration even though a \$5 book can trigger the same statutory tax.

1.2 History: Physical Presence versus Economic Presence

Before 2018, remote sellers generally collected only with physical presence in the destination state. Online platform sales were often untaxed at checkout; buyers owed use tax but rarely remitted it.

After *South Dakota v. Wayfair* (2018), states may require collection based on economic presence. Marketplace facilitator laws shift collection to the platform, which remits at checkout.

1.3 Rates

Population-weighted average combined (state + local) rates are about 7.53%.¹ Highest average combined rates include Louisiana (10.13%), Tennessee (9.61%), Washington (9.57%), and Arkansas (9.48%). Colorado has the lowest statewide rate among taxing states (2.90%), before local add-ons. Five states—Alaska, Delaware, Montana, New Hampshire, and Oregon—have no statewide sales or use tax.

¹Tax Foundation, State and Local Sales Tax Rates (midyear 2026 update), <https://taxfoundation.org/data/all/state/2026-sales-tax-rates-midyear/>.

1.4 Collection Size

Rates match; remitted dollars do not. The Census Bureau does not publish a national total that separates use tax from general sales tax, so there is no verified U.S.-wide use-tax dollar figure. Verified evidence is as follows.

Scale of general sales. State retail sales taxes raised \$444.5 billion in FY 2022 (about 31% of state tax collections).² That is the broad sales category, not a sales-versus-use split.

Multi-state use-tax shares. Mikesell and Ross (2019) compiled use tax from states that report it separately (not all 45 sales-tax states).³ In FY 2017, across that panel, use tax averaged 8.19% of sales-plus-use (median 8.22%) and 2.77% of all state tax. Sales tax was therefore about 92% of the combined pot. FY 2010 is nearly identical. Shares vary by state (examples: Michigan 14.8%, Indiana 13.7%, Iowa 16.7%, Florida 2.7%, Hawaii 1.1%).

Recent state breakdowns. Iowa FY 2025: of \$4.156 billion, retail sales 72.0%, retailer’s use 17.4%, remote sellers 9.4%, consumer’s use 1.3%.⁴ Retailer’s use and remote sellers are still seller-collected; buyer self-assessment (consumer’s use) is only 1.3%. Kansas FY 2023 actuals: \$2.777 billion retail sales and \$803 million compensating use (22.4% of sales-plus-use).⁵

Seller collection is automatic. Buyer use tax relies on self-reporting, with low household compliance except for titled goods.

1.5 Returns and Refund Timing

Sales tax paid to a store. The store refunds tax with the purchase price (days).

Use tax paid to the government. The store cannot refund it. The buyer must claim with the tax authority (often months).

1.6 Why This Matters

Sales tax is seller remittance; use tax is buyer remittance when the seller does not collect. Marketplace laws push remote sales onto the seller path. Refunds follow the remitting party. That remittance split parallels seller versus buyer tax regimes in models with product returns. In dollars, the buyer-remittance channel is small relative to seller collection.

References

- [1] Tax Foundation, “State and Local Sales Tax Rates, Midyear 2026.” <https://taxfoundation.org/data/all/state/2026-sales-tax-rates-midyear/>.

²Tax Foundation, “Sales Tax Revenue by State,” <https://taxfoundation.org/data/all/state/sales-tax-revenue-reliance-breadth/>.

³John L. Mikesell and Justin M. Ross, “After Wayfair: What Are State Use Taxes Worth?” NTA, 2019, <https://ntanet.org/wp-content/uploads/2019/05/AFTER-WAYFAIR-WHAT-ARE-STATE-USE-TAXES-WORTH-PAPER.pdf>.

⁴Iowa Department of Revenue, *Retail Sales and Use Taxes Annual Report, FY 2025*, <https://revenue.iowa.gov/media/4462/download?inline=>.

⁵Kansas Legislative Research Department, CRE long memo, Spring 2024, Table 1, https://klrd.gov/wp-content/uploads/2024/05/CRE_Long_Memo_05-08-2024.pdf.

- [2] Tax Foundation, “Sales Tax Revenue by State.” <https://taxfoundation.org/data/all/state/sales-tax-revenue-reliance-breadth/>.
- [3] John L. Mikesell and Justin M. Ross, “After Wayfair: What Are State Use Taxes Worth?” National Tax Association, 2019. <https://ntanet.org/wp-content/uploads/2019/05/AFTER-WAYFAIR-WHAT-ARE-STATE-USE-TAXES-WORTH-PAPER.pdf>.
- [4] Iowa Department of Revenue, *Retail Sales and Use Taxes Annual Report, FY 2025*. <https://revenue.iowa.gov/media/4462/download?inline=>.
- [5] Kansas Legislative Research Department, CRE long memo (Spring 2024). https://klrd.gov/wp-content/uploads/2024/05/CRE_Long_Memo_05-08-2024.pdf.